

MODISON LTD- Case study on why share price tracks cash and not earnings

LIFE OF A COMPANY IN COMMODITY HELL



VIKAS REDDY

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Increasing profits but no cash in the bank.

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kaushik.keerti29@gmail.com

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Where growth comes from inventory gains and not structural business changes.

Welcome to the life of a company which remains hostage to commodity cycles granting it temporary operating leverage when the cycles remain favourable.

At first glance, Modison Ltd looks like a classic value-growth play. Reported earnings have skyrocketed—EPS surged from ₹7.61 in FY25 to ₹22.36 in FY26, and Net Profit Margin doubled to ~10%. Top-line sales growth remained robust at 19% TTM. Yet, despite these eye-popping financial metrics, the market continues to treat the earnings expansion with extreme caution.

A closer look at the balance sheet and cash flow statement reveals why: Modison provides a textbook case of paper profits trapped in a working capital spiral driven by silver price volatility.

The Paper Profit Illusion: Earnings vs. Cash Flow

While net profit reached ₹72.55 Cr in FY26, the company's operating cash flow told a completely different story.

- **Surging Net Profit:** ₹72.55 Cr in FY26 (up nearly 3x from FY25).
- **Collapsing Cash Flow:** Cash Flow from Operations (CFO) deteriorated from -4 Cr in FY24 to -₹16.10 Cr in FY25, and plunged further to -₹64.18 Cr in FY26.
- **Accrual Ratio:** Exceeds 40%, indicating that a massive chunk of reported earnings exists only on paper.

When profits fail to convert into hard cash, institutional investors discount the stock price.

The Working Capital Trap & Debt Surge

Where did all the cash go?

Swallowed by working capital!

- **Inventory Buildup:** Jumped 72% from ₹127.48 Cr to ₹219.80 Cr in FY26.
- **Trade Receivables:** Expanded 85% from ₹86.13 Cr to ₹159.97 Cr.
- **Spiking Debt:** Total short-term borrowings and current liabilities leaped from ₹94.44 Cr to ₹219.77 Cr to support the working capital deficit.

Because raw material purchases are heavily concentrated (top 5 suppliers account for 65–70%) and clients hold significant leverage (top 5 clients account for 40–45%), Modison is forced to absorb extended payment terms from major OEM players like ABB and Siemens while taking on debt to stock raw inventory.

Silver Volatility: The Engine Behind Operating Margins

Silver accounts for 75–80% of Modison's raw material purchases. The surge in top-line revenue and apparent Net Fixed Asset Turnover (NFAT) is not primarily driven by volume expansion, but by pass-through inflation of global silver prices.

Because pricing models operate on a lag, rapid price movements in silver temporarily expand gross margins and create revaluation gains on existing inventory. However, commodity-driven margin expansion is inherently cyclical, not structural.

The Vanishing Capex Catalyst

Investors hoping for a non-silver growth driver had been monitoring the newly incorporated subsidiary, **Modison Hitech Private Limited**, which was intended to manufacture nickel and nickel alloy products.

- **Project Shelved:** Effective **June 9, 2025**, Modison Ltd divested its entire 100% equity stake in Modison Hitech Private Limited to members of the promoter group before commercial operations began.
- **Capital Allocation:** Net Block barely moved (₹89.27 Cr to ₹91.78 Cr in FY26), confirming that the recent surge in debt was deployed entirely to fund short-term inventory and receivables rather than productive long-term assets.

Final Takeaway for Equity Investors

Modison Ltd demonstrates why high P&L growth numbers cannot be evaluated in isolation. Until the company demonstrates a clear ability to extract cash from its working capital cycle, lower its reliance on debt-financed inventory, and diversify beyond silver-dependent pricing dynamics, the stock price is likely to trade at a noticeable discount to its reported EPS.

“Investing, like life, is more about the art of rejection than the thrill of selection—art honed only through independent observation and rigorous critical thinking.”

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kaushik.keerti29@gmail.com

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